

A Question So Important

Over the past two centuries, our nation has moved from being an agricultural economy, to a manufacturing economy, to a service economy, and now to a predominantly financial economy. But our financial economy, by definition, deducts from the value created by our productive businesses. Think about it: While the owners of business enjoy the dividend yields and earnings growth that our capitalistic system creates, those who play in the financial markets capture those investment gains only *after* the costs of financial intermediation are deducted. Thus, while investing in American business is a *winner's* game, beating the stock market before those costs is a *zero-sum* game. But after intermediation costs are deducted, beating the market—for all of us as a group—becomes a *loser's game*.

Yet despite the vast and, until very recently, rapidly growing dominance of the financial sector in our total economic life, I know of not one academic study that has systematically attempted to calculate the value extracted by our financial system from the returns earned by investors. Nor had a single article (except my own) on the subject ever appeared in the professional journals, neither the *Journal of Finance*, nor the *Journal of Financial Economics*, nor the *Journal of Portfolio Management*, nor the *Financial Analysts Journal*. The first article of which I am aware—Kenneth R. French's "The Cost of Active Investing" (in U.S. stocks)—is, in mid-2008, pending publication in the *Journal of Finance*.

That veil of ignorance must be lifted. We need to find ways to radically improve our nation's system of capital formation, through some combination of education, disclosure, regulation, and structural and legal reform. If this book is a goad toward that goal, my writing it will have been time well spent. But the point is that the job must get done. Until it is, the financial economy will continue to subtract inordinately from the value created by our productive businesses, and in the challenging times that I see ahead, that is a loss we can no longer tolerate.